

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to the
Interstate Transmission System**

Docket No. RM26-4

**Initial Comments of the PPL Companies re Advanced Notice of Proposed Rulemaking on
the Interconnection of Large Loads to the Interstate Transmission System**

The transmission-owning subsidiaries of PPL Corporation (“PPL”) (collectively the “PPL Companies”) hereby submit these initial comments in response to the Advanced Notice of Proposed Rulemaking regarding the Interconnection of Large Loads to the Interstate Transmission System (the “ANOPR”) submitted by the Honorable Chris Wright, Secretary of Energy, and published by the Federal Energy Regulatory Commission (“FERC” or the “Commission”).¹ The PPL Companies are PPL Electric Utilities Corporation (“PPL Electric”), Louisville Gas & Electric Company (“LG&E”) and Kentucky Utilities (“KU”) (collectively, “LG&E/KU”), and The Narragansett Electric Company d/b/a Rhode Island Energy (“RIE”).

I. INTRODUCTION

New large loads, specifically data centers connecting directly to the bulk electric system, present a series of new challenges for the electric industry. In this docket, the Department of Energy (“DOE”) directs the Commission to consider a new angle on the problem. Rather than focus on resource adequacy challenges, transmission planning, or load forecasting, the Commission is instead directed to assert jurisdiction directly over the interconnection of these large loads, previously a matter left to the states by the Federal Power Act and FERC regulations. This is a

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

significant request. By asserting federal jurisdiction, FERC would displace not just longstanding state jurisdiction, but the detailed processes, practices, agreements, and precedents developed over decades in each state to answer the myriad and intricate questions of retail load interconnection. In some parts of the country, this assertion of jurisdiction may be necessary to accelerate the interconnection of these crucial loads. In others, it may instead slow them significantly. Regardless, if the Commission decides to proceed, it should do so deliberately and with care.

Specific proposals made in the ANOPR warrant a closer look. Some of these proposals will lead to needed changes. For example, in FERC-regulated RTO tariffs that do not provide guidance for how to treat generators with so-called co-located load behind their meters, the Commission has allowed a gap in regulation with potential reliability risks. The ANOPR proposes changes that will likely improve physical protections for the transmission system and network customers currently at risk. This alone would be a valuable change. The Commission should go further though, looking for ways to discourage netting, which frequently leads to cost subsidization by network customers. It should also encourage an existing shift in practice to more beneficial co-location arrangements where generators and load locate near each other (or even share a point of interconnection) without shared metering.

Other proposals in the ANOPR may need more development. For example, the proposal to assert jurisdiction to all loads down to 20 MW risks overshooting the mark. This low threshold would bring in not just large data centers connecting to the high voltage bulk electric system, but also snare many longstanding commercial and industrial loads connected to lower voltage transmission lines. A higher voltage threshold can still meet the Administration's goals in the ANOPR while minimizing impact on state jurisdiction over existing loads. While the ANOPR attempts to avoid affecting state jurisdiction by limiting the Commission's jurisdiction to

connections to facilities meeting FERC's seven-factor test for transmission, this may not be enough to avoid jurisdiction conflicts with a load threshold as low as 20 MW.

Finally, some ANOPR proposals—or at least some broad interpretations of them—may warrant further consideration. For example, a proposal that large loads fund 100% of network upgrades related to their interconnection appears on the surface to shield network customers from paying the costs of the new loads. However, adopting such a proposal would transfer significant costs onto the data centers, years before they would be able to recoup them through business operations. This will significantly raise their upfront costs and slow, rather than speed, their interconnection. Further, this change is not necessary to protect network customers from subsidizing large loads, an important and worthwhile goal. Regular utility ratemaking already provides sufficient protections. Unlike upfront charging to customers, utilities recoup costs over decades. As transmission facilities gradually depreciate, they are paid for by the customers actually using them—a group that changes over time. Further, new ideas like load guarantees ensure that data centers pay their fair share of costs (easily covering the costs of the required network upgrades), even if nominally charged to all network customers. This is simply a better way to charge for network upgrades than a blunt upfront charge. Similarly, ideas like option to build seem useful on paper to speed load connections, but utility experience with this idea on the generation side counsels caution before expanding it. Shifting from well-established utility construction to lowest-cost developers eager to offload sites after meeting minimal requirements often raises costs in the long term. And those costs flow to network customers once the utility takes ownership and control of the facility.

Despite these challenges, the ANOPR is a bold vision for a streamlined federal process to speed development of data centers while maintaining affordable, reliable and secure electrical

service. Data centers are of geostrategic importance to the United States. They will play an important role in both national security and economic development. The Administration should be applauded for continuing to push these ideas to the forefront of the agenda. The PPL Companies encourage the Commission to move forward with the rulemaking process, keeping the Administration's goals firmly in mind. Where we differ with the ANOPR's language, it is in the spirit of improving the final product rather than opposing a worthwhile effort. PPL thanks Secretary Wright and the Trump Administration for opening this process and we are eager to participate.

II. BACKGROUND

A. The PPL Companies

PPL, headquartered in Allentown, Pennsylvania, is a utility holding company incorporated in 1994 in connection with the deregulation of the electricity generation markets in Pennsylvania. PPL was founded to serve as the parent company for PPL Electric, a regulated utility, and to its then affiliates.

PPL Electric was founded in 1920 as the Pennsylvania Power & Light Company. PPL Electric is a Pennsylvania corporation and wholly owned indirect subsidiary of PPL. It owns and operates transmission and distribution facilities in 29 counties in eastern and central Pennsylvania, where it serves approximately 1.4 million customers. PPL Electric was a founding member of PJM Interconnection, L.L.C. ("PJM"). Its transmission system consists of approximately 5,000 miles of electric transmission lines, which are integrated into the PJM transmission system. PPL Electric operates and maintains its transmission facilities under the direction of PJM; and PJM provides transmission service over PPL Electric's transmission facilities under the PJM Open Access Transmission Tariff ("PJM OATT").

PPL Electric is home to one of the most promising areas for data center development in the United States. In addition to the naturally occurring land and water resources in central and

eastern Pennsylvania, key fiber optic corridors in the greater Susquehanna Valley make PPL Electric's territory the perfect location for data centers serving major population centers in the Northeast United States. PPL Electric's transmission system is also ready for large load interconnections. PPL Electric has invested billions of dollars in its transmission grid over the last 12 years, providing top-quartile reliability for existing customers and industry-leading speed-to-market for large loads. This is translating to rapid data center load growth. PPL has publicly reported over 20 GW of data center development in advanced stages (projects with signed development agreements) in Pennsylvania. Of these, over 5 GW have signed electric service agreements ("ESAs"), the final stage in the process, and are under active construction. PPL Electric's process provides maximum protection for network customers. Its preliminary agreements ensure that costs are fully reimbursable by data center developers if they do not move forward with the projects. They also include additional customer protections like pre-payments to cover customer costs prior to work being performed and credit support to cover all project upgrade costs charged to network load. The final ESAs include minimum load demand obligations, ensuring that data center customers cover their peak demand on the system, paying the costs of required network upgrades through regular utility rates.

LG&E and KU are public utilities and wholly owned indirect subsidiaries of PPL. LG&E is an electric and natural gas utility based in Louisville, Kentucky, and currently serves around 436,000 electric customers and 335,000 natural gas customers in the City of Louisville and in sixteen surrounding counties. KU is an electric-only utility based in Lexington, Kentucky, serving approximately 545,000 customers in seventy-seven counties in Kentucky and 28,000 customers in five counties in Virginia (under the name Old Dominion Power Company). Together, LG&E and KU provide open access transmission service pursuant to the terms and conditions of

the LG&E/KU Joint Pro Forma Open Access Transmission Tariff currently on file with the Commission. LG&E and KU are also founding members of the Southeast Energy Exchange Market (“SEEM”).

While the extensive growth of large data center loads is a relatively new development in the industry, LG&E/KU has considerable experience in the interconnection of large loads into the LG&E/KU service territory and the integration of large loads into reliable system operations. LG&E and KU are vertically integrated and so this experience extends from the provision of bundled retail load service to the provision of transmission service. In fact, LG&E/KU perform nearly all NERC Registered Entity functions with the exception of Reliability Coordinator for the LG&E and KU service territories. This experience includes designing and operating the LG&E/KU transmission system to integrate large arc furnaces (~150 MWs) that are very dynamic and fluctuate load quickly and often, as well as other large manufacturing plants that are sensitive to system events and potentially impactful to transmission system reliability.

RIE is an indirect wholly owned subsidiary of PPL. It is a major natural gas and electric utility serving over 770,000 customers throughout the State of Rhode Island. RIE is a participating transmission owner in ISO New England (“ISO-NE”). Its transmission system consists of approximately 336 miles of transmission lines, which are under the operational control of ISO-NE and are made available under the terms of the ISO-NE Tariff. Data center development has been slower in New England but RIE’s system is also being studied closely for potential sites.

B. The ANOPR

On October 23, 2025, Secretary Wright submitted a letter on behalf of the DOE to the Commission directing it to initiate the attached ANOPR aimed at ensuring the timely interconnection of large loads. The Secretary reported that the initiative reflected the Trump

Administration's broader effort to reduce regulatory barriers for large loads and generation projects seeking to come online.

The ANOPR defined large loads as those exceeding 20 MW and instructed FERC to assert jurisdiction and "to standardize interconnection procedures and agreements" governing the interconnection of large loads to the transmission system.² It also included several specific proposals, including:

- Assigning 100% of network upgrade costs to the new loads rather than network customers,
- Allowing option to build for large load interconnections,
- Standardizing study deposits, readiness requirements, and withdrawal penalties under a federal tariff for load facilities,
- Allowing customers to submit joint load and generation interconnection requests for a single point of interconnection (co-location),
- Requiring installation of system protection facilities to prevent unauthorized injections or withdrawals, and
- Expediting interconnection studies for large loads that agree to be curtailable and dispatchable.

FERC opened the instant rulemaking docket to solicit comments on the ANOPR.

III. COMMENTS

The PPL Companies applaud Secretary Wright and the DOE for their strong support of data center and other large loads. The ongoing discussions in the energy regulatory space about how to serve these new loads commonly miss their criticality to national security and economic development. Perhaps no other form of physical infrastructure is as important for the United States to develop in the 21st Century. Efforts to lower barriers to large loads interconnecting with

² ANOPR at P 12.

the transmission system are timely and welcome. The Commission should take up the call issued by the DOE.

Fully embracing the goals of the ANOPR, the PPL Companies offer the following limited comments based on their experience interconnecting large loads:

A. Jurisdiction

At its core, the ANOPR instructs FERC to assert jurisdiction over interconnection procedures and agreements for large retail loads with the explicit goal of standardizing that process across the country.³ Whether the Commission can go beyond its traditional limitations, where it has clear jurisdiction over transmission in interstate commerce and states retain jurisdiction over the distribution of electricity to end users, is a complex legal question that will likely be decided by the federal courts.

At this early juncture, PPL would only add that an aggressive assertion of federal jurisdiction over all retail interconnections above a certain voltage threshold may not be necessary to meet the Administration's goals. Specifically, PPL's experience is that our states are not slowing data center interconnections down in any measurable way. Instead, the opposite is often true. For example, PPL Electric's retail interconnection process, as regulated by the Pennsylvania Public Utilities Commission, has worked extremely well. PPL Electric is currently working to interconnect over 20 GW of data center load under a flexible process where we utilize agreements that incorporate many of the same terms envisioned by the ANOPR.⁴ PPL Electric's preliminary agreements ensure that any costs to connect data centers, including engineering and design, real estate acquisition and permitting, and construction, are fully reimbursable by the data center

³ ANOPR at P 12.

⁴ See ANOPR at P 21 (requiring "standardized study deposits, readiness requirements, and withdrawal penalties" for new large loads).

developer should it cancel the project. Any work subject to cost in aid of construction (“CIAC”) payments by the customer must be prepaid. Any costs incurred to network upgrades require credit support. Final agreements include load demand obligations protecting network customers should the data center shut down prematurely. Each of these meets or exceeds the proposed terms of the FERC interconnection agreement envisioned by the ANOPR. Pennsylvania’s efficient oversight has not added a single day to any data center development timeline. Each site is proceeding as quickly as possible given broader issues such as land acquisition/permitting and global supply chains for necessary components. Even if a standard, federalized process makes sense elsewhere, it is simply not able to speed things up in Pennsylvania.

Similarly, in Kentucky, the Public Service Commission (“KPSC”) has not impeded the interconnection of large loads in the LG&E and KU service territories. Recent orders from the KPSC reflect a measured approach that supports the potential development of large loads projects in the LG&E and KU service territories without sacrificing protections for retail ratepayers if the projected load does not manifest.⁵ LG&E and KU are proactively working to enhance their ability to address large load integration at the state level through the filing of a new rate schedule for extremely high load factor service. This filing is currently pending before the KPSC in Case Nos. 2025-00113 and 2025-00114.

To the extent state-regulated interconnections are slowing or preventing data centers from coming online elsewhere in the country, PPL believes there is a more limited solution to address this issue without requiring a one-size-fits-all policy that may be difficult to develop and implement. FERC could create a federal backstop for large load interconnections that the utility, or

⁵ For example, the KPSC issued an Order on October 28, 2025, in Case No. 2025-00045 issuing a certificate of public convenience and necessity to construct new generation related to a large load interconnection.

potentially the customer, could trigger when a state process bogs down. This model already exists elsewhere in the FPA structure: the expanded federal siting permitted by the FPA amendments in the Infrastructure Investment and Jobs Act of 2021 (“IIJA”)⁶ and the subsequent FERC action in Order No. 1977.⁷ Moving to a similar process where utilities could utilize a new federal interconnection process if the state slows or rejects data center development would meet the Administration’s goal of facilitating data center interconnection, without unnecessarily interfering in existing utility processes that are working well under state regulation.

B. Customer Funding of Network Upgrades

The ANOPR suggests that under federal interconnection rules, “load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through interconnection studies.”⁸ Should the Commission adopt the ANOPR and assume control over large load interconnection, it should interpret this language consistent with its longstanding policy that network customers pay for network upgrades.⁹ It should likewise retain the norm in state-level retail connections that interconnection facilities serving a single customer should be paid for by that customer.¹⁰ Drawing instead on its own generator interconnection precedents for direction is more fraught. Cost allocation rules for new generators were developed to reflect a different

⁶ Pub. L. 117-58, 135 Stat. 429 (2021).

⁷ *Applications for Permits to Site Interstate Electric Transmission Facilities*, Order No. 1977, 187 FERC ¶ 61,069, RM22-7 (May 13, 2024).

⁸ ANOPR at P 25.

⁹ *See, e.g., Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003-A, 106 FERC ¶ 61,220, RM02-1 (Mar. 5, 2004) at P 424 (charging all transmission customers, rather than merely the interconnection customer, for network upgrades because they “provide a system-wide benefit”).

¹⁰ The Commission should broadly be aware that it has no set of precedent for how to adjudicate disputes over retail interconnection. It should generally look to long-established state law for inspiration, rather than the younger, and less-applicable body of generator interconnection precedent FERC has developed since deregulation.

paradigm. There, the deregulation of generation markets meant that new independent power producers were joining an existing grid, paid for by network customers, and were charged their costs for doing so.¹¹

More specifically, the Commission should be cautious about ordering this major change to funding for large-load-related network upgrades for two reasons:

First, moving to customer funding of network upgrades would fly in the face of the very Administration policy underlying the ANOPR. Charging large retail loads 100% of the network upgrade costs required to interconnect them to the transmission system would dramatically increase the Day 1 costs of data center interconnections. This will inevitably lead to slower process, higher costs, and fewer data centers being constructed. This is the exact opposite of the Administration’s laudable policy to revitalize domestic manufacturing and drive American AI innovation.¹²

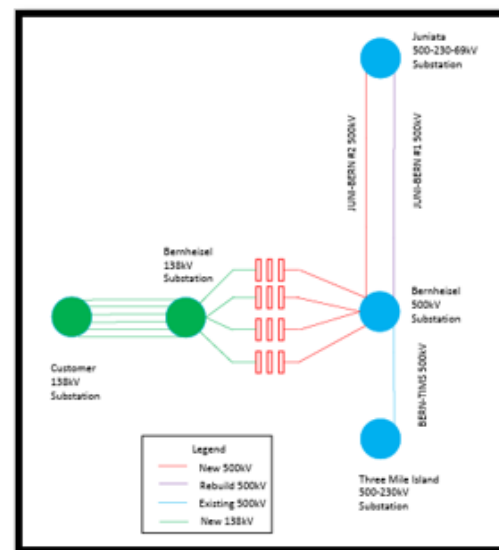
Second, such a change is not necessary. Utilities have cost allocation policies for new load connections developed over decades of experience. These balance the interests of new customers with those of longstanding customers, each with different needs and demands on the system. For example, in Pennsylvania, PPL Electric charges new large load customers directly, through a CIAC, for transmission and distribution costs to directly serve their facilities. This electrical infrastructure provides limited benefits to the larger system, but significant benefits for

¹¹ Even for generator interconnections, there is significant doubt about the appropriateness of charging network upgrades to anyone other than network customers. *See Ameren Services Co. v. FERC*, 880 F.3d 571, 582 (D.C. Cir. 2018) (requiring FERC to explain why generator funding of network upgrades did not run afoul of capital attraction standard); *Fed. Power Comm’n v. Hope Nat. Gas Co.*, 320 U.S. 591, 603, 64 S. Ct. 281, 288, 88 L. Ed. 333 (1944) (“the return to the equity owner should be commensurate with returns on investments in other enterprises having corresponding risks. That return, moreover, should be sufficient to assure confidence in the financial integrity of the enterprise, so as to maintain its credit and to attract capital.”).

¹² *See* Ltr. Of Hon. Chris Wright Attaching ANOPR (Oct. 23, 2025) at 2.

new load using it to come online. It is thus appropriate to charge directly. By contrast, upgrades to the broader transmission network necessary to ensure continued reliability following the interconnection of the new load are funded by the utility and charged to all network customers through normal utility ratemaking. These network upgrades become part of the broader transmission network and will be utilized by all network customers for the entire lifetime of the transmission asset, likely decades. It has long been considered appropriate for the utility to fund such upgrades, slowly depreciate the assets over time, and charge network customers for use of the line through normal ratemaking. Of course, these network customers themselves change over time and include not only “native” load already on the system, but also the large loads that “drive” the need for the upgrade and other loads that come online thereafter.

A quick example shows how this works. When PPL Electric connected a new data center customer in New Kingston, PA, in early 2024, it broke a 500 kV line with a new substation and constructed radial lines from that new substation to the customer’s facility. The work on the 500 kV line and the new substation were charged to network customers, while the radial lines serving the customer were charged directly.¹³ This allowed the customer to come online quickly and efficiently. PPL Electric funded upgrades that benefitted its network customers. These costs will be paid gradually over decades as the line depreciates, rather than all at once by the data center. Future



Bernheisel Project: Customer Pays for Green While Network Customers Pay for Red/Purple

¹³ See Transmission Expansion Advisory Committee – PPL Supplemental Projects (Apr. 2, 2024) at 4, available at <https://www.pjm.com/-/media/DotCom/committees-groups/committees/teac/2024/20240402/20240402-item-08---ppl-supplemental-projects.ashx>.

customers will also benefit from the network upgrades, and will pay a small share of their costs. The facilities built specifically to interconnect the new load customer, by contrast, were paid for directly by that customer. They have only nominal benefits for the larger set of network customers interconnected elsewhere on the transmission system and it would be inappropriate to charge for them more broadly.

Even this equitable splitting of costs is not the end of the story, however. Utilities like PPL Electric have developed ways to ensure “native” load benefits even more from new large load connections than it would in the normal course of utility ratemaking. Specifically, before serving them, PPL Electric requires interconnecting large load customers like data centers to enter into ESAs with provisions guaranteeing they will purchase at least 80% of the aggregate load requested over an initial term of five years. This electric service commitment ensures that the new load pays aggregate transmission service charges that are at least equal to the total expenses incurred by PPL Electric for construction work included in the rate base. In other words, the new large loads pays for the costs of the network upgrades through normal utility rates, even though they are technically being charged to all network customers. This ensures existing customers are held harmless against cost increases: the contract essentially acts as insurance against the new load creating significant costs, then dropping off the system leaving those costs to network customers. Unlike upfront payment by large loads, this process does not disincentivize new load connections and does not violate longstanding ratemaking principles.

While PPL Electric believes its large load cost allocation regime is best for its system (and that it is in the majority among utilities), there is not unanimity in the industry as to how to allocate these costs. Indeed, the practice of PPL’s Kentucky utilities, LG&E and KU, differs from that of PPL Electric. LG&E and KU are in a traditionally regulated retail jurisdiction, in

which there is no retail choice and utilities are obligated to provide bundled retail service to end-use customers that locate within the utility's defined service territory. As such, arrangements for interconnections to the transmission system are between LG&E/KU and the applicable load serving entity, who is responsible for submitting a transmission service request. Network upgrades are undertaken in accordance with the LG&E/KU Joint Pro Forma Open Access Transmission Tariff through the processing of requests for transmission service submitted by the load serving entities based on their projected load growth.

Where LG&E or KU are the load serving entity, the approach taken with respect to submitting incremental transmission service requests depends on whether a large load end use customer or a developer is seeking electric service. For entities who have not yet entered into a retail service agreement with either LG&E or KU, the practice is to enter into a reimbursement agreement in which LG&E or KU move forward with transmission service requests under an agreement in which the proposed customer or developer is responsible for reimbursing LG&E or KU for the cost of any network upgrades completed in the event the load fails to appear. This structure allows for the efficient development of transmission based on customer projected needs, without risk to other ratepayers and in a manner that reflects the primacy of state jurisdiction.

C. Option to Build

The ANOPR proposes to afford the new load "the same (or equivalent) option to build as currently provided to generator interconnection customers."¹⁴ This appears to refer FERC's policy, most recently clarified under Order No. 845, that interconnecting generators can construct their own interconnection facilities and certain network upgrades, rather than having the

¹⁴ ANOPR at P 26.

transmission provider perform the construction.¹⁵ The PPL Companies caution that expanding option to build to retail load customers is likely to increase costs and risks of interconnection, again frustrating, rather than furthering, the Administration's goals.

Utility experience with generator option to build has largely been negative. At best, utilities needed new and complex processes and carefully negotiated contracts regarding site acquisition, environmental permitting, equipment standards, insurance/indemnity, and numerous other provisions to protect themselves and their customers from poor-quality, expensive, and in some cases dangerous, customer-built facilities. In bad cases, utilities have had to take substandard land or equipment with known issues, requiring expensive fixes with unclear avenues for cost recovery. Utility customers have been left to pay for the operations and maintenance costs of facilities built on the cheap, rather than to utility standards designed to ensure equipment operates safely and reliably for decades. These issues have grown less common and less severe as the industry has grown used to option to build and developed adequate *ex ante* procedures, but the imposition of option to build should not be looked back on as a success story. Adding option to build to the concerns raised around customer funding of network upgrades¹⁶ makes the proposed process even more fraught.

D. Threshold for Large Loads

The ANOPR proposes that the new process for retail interconnection should apply to large loads of 20 MW or more.¹⁷ This relatively low threshold will ensure that FERC regulation reaches not just hyperscalers and other large data centers, but many longstanding industrial and

¹⁵ *Reform of Generator Interconnection Procedures and Agreements*, Order No. 845, 163 FERC ¶ 61,043, RM17-8 (Apr. 19, 2018) at P 85.

¹⁶ See Section III.B, *supra*.

¹⁷ ANOPR at P 19.

commercial customers, including many connected at transmission voltages below 100 kV. If the Commission is seeking a lighter touch that only impacts the new class of loads connecting to the bulk electric system, it could consider a higher threshold such as 100 MW, or even 500 MW (thresholds that would still catch many data centers).

E. Co-Located Loads

Significant portions of the ANOPR address (and encourage) the prospect of co-locating new generation with large loads.¹⁸ FERC action here promises to close the gap in regulation of co-located load arrangements that has persisted since the first large loads were interconnected behind the meter of large wholesale generators several years ago.¹⁹ It has been more than a year since the Commission held a Technical Conference on Large Loads Co-Located at Generating Facilities and received testimony from numerous parties and post-technical conference comments from many more.²⁰ More recently, FERC also opened a Show Cause docket specifically for PJM’s consideration of co-located loads, examining whether the PJM Tariff remains just and reasonable for not providing sufficient guidance as to their treatment.²¹ These dockets remain open. Commission action to provide guidance on this subject would be welcome.

¹⁸ See ANOPR at P 20 (“to the extent practicable, load and hybrid facilities should be studied together with generating facilities”); P 23 (“any hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals ...”); P 29 (“utilities serving large loads ... should be responsible for ancillary services based on peak demand, without consideration of any co-located generation”).

¹⁹ See *Large Loads Co-Located at Generating Facilities*, Post-Technical Conference Comments of PPL Electric Utilities Corporation, Docket No. AD24-11 (Dec. 9, 2024) (“PPL Electric Post-Technical Conference Comments”) at 2 (“We encourage the Commission to act quickly to close these gaps and provide the direction necessary for utilities, generators, and other relevant actors to interconnect these data centers as quickly and efficiently as possible.”).

²⁰ See *generally*, Docket No. AD24-11.

²¹ *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115, Docket No. EL25-49 (Feb. 20, 2025) (“Order to Show Cause”).

The PPL Companies will not repeat all the points they made (individually or collectively) in earlier dockets, but wish to reiterate that any Commission action on co-located load should follow two “North Star” principles:

- (1) Protect the safety and reliability of the bulk electric system; and**
- (2) Prevent subsidization of new loads by network customers.²²**

The PPL Companies also respond to some specific questions in the ANOPR related to co-located loads:

First, the ANOPR expects that co-location will lead to efficient siting and reduced transmission costs.²³ This is often true: Co-location of load with generation can be beneficial for the electric system, especially when new large loads such as data centers—which would be coming online anyway—bring new incremental generation resources in close proximity.²⁴ The ANOPR adopts two options for co-located load: those sited “near ... a new generation facility” and those “at the same point of interconnection as a new generation facility,” the latter of which it defines as “hybrid facilities.”²⁵ These two options exactly match two of the “eight potential options for additional large load co-location” presented by PJM in its response to the Order to Show Cause.²⁶ Specifically, the ANOPR describes Option 1, where load becomes traditional network load but is located at the same site as generation, and Option 2, where new load is at the same

²² *PJM Interconnection, L.L.C., et al.*, Answer of PPL Electric Utilities Corporation, Docket No. EL25-49, *et al.* (Apr. 23, 2025) (“PPL Electric Show Cause Answer”) at 1.

²³ ANOPR at P 20.

²⁴ PPL Electric Post-Technical Conference Comments at 2 (“By co-locating on existing generation sites, large data center loads avoid the need for large transmission system upgrades that increase both the costs of the projects and the operational complexity of the grid.”).

²⁵ ANOPR at PP 12, 20.

²⁶ *PJM Interconnection, L.L.C., et al.*, Answer of PJM Interconnection, L.L.C., Docket No. EL25-49, *et al.* (Mar. 24, 2025) (“PJM Show Cause Answer”) at 5, 9–11.

point of interconnection, but is separately metered.²⁷ Both of these options maximize the benefits of co-location, while minimizing or eliminating the drawbacks. They are clearly the preferred options of all the potential treatments for co-located load.²⁸ Should co-location follow this pattern, the ANOPR is right to predict it will be beneficial.

Second, the ANOPR suggests hybrid facilities “shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights.”²⁹ Here again, the ANOPR hits the mark exactly. Ever since load was added behind the meter of the Susquehanna Nuclear generator, interconnected to the PPL Electric system, starting in 2023, the PPL Companies have advocated for improvements to visibility, prevention of inadvertent swings in power, and protections for the transmission system.³⁰ The best way to do this is to ensure that co-located load does not share a point of interconnection with generation—or if it does, that it has a separate utility meter and adequate system protections and operational parameters.³¹ Should the Commission use this docket to establish parameters for co-located load, it should look to the records in earlier dockets for examples of operational limitations, minimum technical requirements, and penalties for unauthorized injections or withdrawals necessary to safely and reliably interconnect co-located resources.³²

²⁷ *See id.*

²⁸ *See* PPL Electric Show Cause Answer at 8 (noting these options “do not impact safety or reliability and do not create any subsidization concerns”).

²⁹ ANOPR at P 23.

³⁰ *See PJM Interconnection, L.L.C.*, Motion for Leave to Answer Protest and Answer of PPL Electric Utilities Corporation, Docket No. ER24-2172 (Jul. 12, 2024) at 2 (defending amendments to Susquehanna interconnection agreement intended to increase protection for transmission system).

³¹ *See* PPL Electric Show Cause Answer at 10–11 (pointing out that the Commission’s denial of the Susquehanna interconnection agreement left the PJM Tariff without sufficient protections for behind-the-meter load).

³² *See* ANOPR at P 23.

Third, the ANOPR addresses transmission service and ancillary services at hybrid facilities. Specifically, it proposes to require that “utilities serving large loads ... should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load.”³³ And it likewise proposes to make “utilities serving large loads ... responsible for ancillary services based on peak demand, without consideration of any co-located generation.”³⁴ The Commission should confirm each of these statements to mean that co-located load must pay its full share of the costs of the transmission system and for ancillary services, without subsidization by network load.

Specifically, charging load for transmission service based on “withdrawal rights” should mean that each load be metered separately from any co-located generator and charged a normal utility rate, which will include transmission service (with details varying based on state law, RTO/ISO status, etc.). Transmission service should not be based on a netted value with the generator, as this risks undercharging for use based on the characteristics of the generator and the load. As the PJM Transmission Owners explained in the Show Cause docket:

If co-located load is interconnected to the transmission system, it is using the transmission system and must pay for its share of wholesale transmission service. For wholesale transmission service in PJM, the allocation of these wholesale charges should continue to be based on the FERC-approved cost allocation methodologies employed today. Specifically, if a customer has the option, capability, or is requesting such capability to serve their full load from the PJM Transmission System, then the full load amount should be included in the LSE’s total load used to determine its share of total system costs, even if they choose not to use that full suite of services at times. No free ridership should be enabled for grid-connected customers. They are paying to use the transmission system and for the transmission system to be available to them when

³³ *Id.* at P 28.

³⁴ *Id.* at P 29.

needed. The fact that their load may not be constant does not reduce the possible need for investment in the transmission system or operation and maintenance costs that transmission owners incur to ensure that the system is available to them and that they receive reliable service.³⁵

Likewise, as the ANOPR suggests, ancillary services should be charged to the load based on its peak demand, without netting with the co-located generation.³⁶ Taken together, these treatments of co-located load allow optimal interconnection near generators with minimal subsidization by network customers.

³⁵ *PJM Interconnection, L.L.C., et al.*, Answer of the Indicated PJM Transmission Owners to the Order Instituting the Proceeding Under Section 206 of the Federal Power Act and Consolidating with Other Proceedings, Docket No. EL25-49 et al. (Mar. 24, 2025) at 16-17; *see also* PJM Show Cause Answer at 36 (“simple netting may not capture the costs ‘caused’ by co-located data center arrangements”) (cleaned up).

³⁶ *See* PJM TO Comments at 13 (“Assignment of ancillary services to co-located load should be treated like any other load.”).

IV. CONCLUSION

The PPL Companies thank Secretary Wright for raising these important issues and the Commission for soliciting comment. FERC should conduct a full rulemaking process, including issuing a more specific notice of proposed rulemaking following up on the high-level issues raised in the ANOPR. The PPL Companies look forward to continuing to participate in this docket and request that these comments be considered as part of the record.

Respectfully submitted,

Steven M. Nadel
Senior Counsel
PPL Services Corp.
645 Hamilton Street, Suite 601
Allentown, PA 18101
Tel. 610.774.4775
SMNadel@pplweb.com

Counsel for the PPL Companies.

November 21, 2025